4. Nationalisation of banks was required to reduce the regional imbalances where the banking facilities were not available.
5. Before Independence, the numbers of banks were certainly inadequate. After nationalization, new bank branches were opened in both rural and urban areas.
6. Banks created credit facilities mainly to the agriculture sector and its allied activities after nationalization.

After New Economic Policy 1991, the Indian banking industry has been facing new horizons of competitions, efficiency and productivity. With all these developments people in villages and slums depend largely on local money lenders for their credit needs. This is unfortunate.

## 8.13 Performance of India's Five Year Plans

Economic planning is the process in which the limited natural resources are used skillfully so as to achieve the desired goals. The concept of economic planning in India or five year plan is derived from Russia (then USSR). India has launched 12 five year plans so far. Twelfth five year plan was the last one. The government of India has decided to stop the launching of five year plans and it was replaced by NITI Aayog.

### First Five Year Plan (1951-1956)

- It was based on the Harrod-Domar Model.
- Its main focus was on the agricultural development of the country.
- This plan was successful and it achieved the GDP growth rate of 3.6% (more than its target)

### Second Five Year Plan (1956-1961)

- It was based on the P.C. Mahalanobis Model.
- Its main focus was on the industrial development of the country.
- This plan was successful and it achieved the growth rate of 4.1%

### Third Five Year Plan (1961-1966)

- This plan was called 'GadgilYojana' also.
- The main target of this plan was to make the economy independent and to reach self propelled position or take off.
- Due to Indo -China war, this plan could not achieve its growth target of 5.6%

### Plan Holiday (1966-1969)

- The main reason behind the plan holiday was the Indo-Pakistan war & failure of third plan.
- During this period, annual plans were made and equal priority was given to agriculture, its allied sectors and the industry sector.

### Fourth Five Year Plan (1969-1974)

- There are two main objectives of this plan i.e. growth with stability and progressive achievement of self reliance.



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